improving profit margins in this way usually proves a relatively temporary matter. This is because additional competitive production capacity is created. This new capacity sufficiently outbalances the increased gain so that, in time, cost increases can no longer be passed on as price increases. Profit margins then start to shrink.

A striking example of this is the abrupt change that occurred in the fall of 1956, when the aluminum market went in a few weeks from a condition of short supply to one of aggressive competitive selling. Prior to that time aluminum prices rose about with costs. Unless demand for the product should grow even faster than production facilities, future price increases will occur less rapidly. Similarly the persistent disinclination of some of the largest steel producers to raise prices of certain classes of scarce steel products to “all the market would bear” may in part reflect long-range thinking about the temporary nature of broad profit margins that arise from no other cause than an ability to pass on increased costs by higher selling prices.

The long-range danger of this is perhaps best illustrated by what happened to the leading copper producers during this same second half of 1956.These companies used considerable self-restraint, even going so far as to sell under world prices in an attempt to keep prices from going too high. Nevertheless, copper rose sufficiently to curtail demand and attract new supply. Aggravated by curtailed Western European consumption resulting from the closing of the Suez Canal, the situation became quite unbalanced. It is probable that 1957 profit margins were noticeably poorer than would have been the case if those of 1956 had not been so good. When profit margins of a whole industry rise because of repeated price increases, the indication is not a good one for the long-range investor.

In contrast, certain other companies, including some within these same industries, manage to improve profit margins by far more ingenious means than just raising prices. Some companies achieve great success by maintaining capital-improvement or product-engineering departments. The sole function of such departments is to design new equipment that will reduce costs and thus offset or partially offset the rising trend of wages. Many companies are constantly reviewing procedures and meth-ods to see where economies can be brought about. The accounting function and the handling of records has been a particularly fertile field for this sort of